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ARTICLE

Digital Currency as Money: The Case of Stablecoins

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Abstract

The commercialisation of 'payment-like' digital currencies in the financial system challenges our pre-existing state-centric legal conception of money due to their self-governing and decentralised nature. Stablecoins – particularly those which are backed by reserves and pegged to a single fiat currency on a 1:1 basis (SCS) – have the potential to reduce the transaction costs of cross-border payments. By drawing insights from a comparison of the Singapore and United Kingdom regulatory approaches towards facilitating SCS as a means of payment, the objective of this article is to consider how the legal characterisation of money under the common law should respond to, and facilitate the increasing use of, such digital currencies as a means of payment. It proposes a substance over form approach towards the characterisation of 'money'. Under this proposed characterisation, the legal form or origin of an instrument should not be determinative of its monetary status; instead, the touchstone of the monetary status of an instrument is whether it serves as an effective means of the transfer of monetary value between parties, regardless of its underlying technology. On this basis, 'payment-like' digital currencies which bear these functional characteristics, such as SCS, may be recognised as money and the functional equivalent of fiat currency, subject to the appropriate regulatory safeguards that enable them to serve this monetary function.

Introduction

'Money', according to Adam Smith, is the 'great wheel of circulation [which] is altogether different from the goods which are circulated by means of it.'[1] The rise of digital currencies – from the creation of Bitcoin in 2009[2] to the global momentum towards stablecoins since 2023 – has heralded a new phase in which tokenisation and blockchain technology have the potential to change our conceptions of money and the forms that it can take.[3] Yet, the increasing commercialisation of digital currencies precipitated a wave of high-profile insolvencies, most notably the collapse of FTX in 2022.[4]

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[1] Jerry Evensky, *Adam Smith's Wealth of Nations: A Reader's Guide* (Cambridge University Press 2015) 68.

[2] Satoshi Nakamoto, 'Bitcoin: A Peer-to-Peer Electronic Cash System' (Bitcoin, 2009) <https://bitcoin.org/bitcoin.pdf> accessed 21 Aug 2025.

[3] Eswar S Prasad, *The Future of Money: How the Digital Revolution is Transforming Currencies and Finance* (Harvard University Press 2021) 8

[4] Douglas W Arner et al, 'The financialisation of Crypto: Designing an international regulatory consensus' (2024) 53 Computer Law & Security Review 1.

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This article is agnostic about the use of digital currencies, and acknowledges that there are potential benefits and risks in the commercialisation of their use in the financial system.[5] Rather, the article contends that the pre-existing state-centric theoretical conception of 'money' in law[6] needs to adapt to the increasing use of digital currencies (particularly privately-issued stablecoins) as a means of payment, in light of the rapid technological, commercial, and regulatory developments that have taken place in recent years.

The article's key argument is that a distinction should be made between digital currencies that serve as a means of payment, and other 'investment-like' digital assets that serve primarily as a means of investment or speculation, and which function more like financial instruments. More specifically, the article argues that certain 'payment-like' digital currencies – namely, stablecoins issued by private institutions regulated by the state, and which are backed by reserves and pegged to a single fiat currency on a one-to-one basis (referred to as single-currency pegged stablecoins or SCS) – may be recognised under the common law as money. Consequently, such stablecoins can be treated as the functional equivalent of fiat currency. While the scope of this article is confined to the legal characterisation of SCS in the context of the common law, it recognises that this characterisation is influenced, at least in part, by the broader legislative and regulatory developments with respect to SCS.[7] In this light, this article considers this issue on the basis of how SCS are conceived under the proposed SCS regulatory frameworks that have emerged in Singapore and the United Kingdom (UK), which purport to regulate and legitimise SCS as a means of payment for broader use by the public. In view of this, the legal characterisation of money under the common law, it is argued, should respond to, and facilitate the use of, such digital currencies as a means of payment that is likely to increase as a result of these regulatory developments in Singapore and the UK.

To this end, this article proposes a substance over form approach to the legal characterisation of 'money'. Under this proposed characterisation, rather than determining the status of an instrument by its legal form or origin, the touchstone of the monetary status of an instrument is whether it serves as an effective means of the *transfer of monetary value* between parties, regardless of its underlying technology. This is not to say that all SCS may necessarily serve this function – instead, their characterisation as money depends on the specific functional characteristics of the particular SCS in question, and whether it is subject to the appropriate regulatory safeguards that enable them to serve this monetary function, as discussed below. The potential recognition of payment-like digital currencies as money has broader implications for creditor protection and the mitigation of insolvency risks in the enforcement of payment claims,[8] as well as their interaction with the broader payment system.

The article first sets out the theoretical context for the discussion by analysing the conceptual tensions between the existing state-centric legal conception of money and digital currencies due to the self-governing and decentralised nature of the latter. It also explains the attendant legal consequences and implications if SCS are (or are not) legally characterised as money. This is followed by an analysis of the emerging Singapore and UK legislative and regulatory developments with respect to SCS, which provide the basis for SCS to operate as payment-like digital currencies in enabling the transfer of monetary value. Then, the article evaluates the potential for SCS to be characterised as money under the common law, along with the challenges and limitations with respect to such recognition, before concluding.

[5]See generally Bank for International Settlements, 'Tokenisation in the context of money and other assets: concepts and implications for central banks: Report to the G20' (Bank for International Settlements, October 2024) <https://www.bis.org/cpmi/publ/d225.pdf> accessed 16 Dec 2025 (Report to the G20).

[6]Charles Proctor, *Mann and Proctor on the Law of Money* (8th edn, Oxford University Press 2023) paras 1.72-1.73.

[7]For example, the regulatory background influences how contractual terms are interpreted. See eg *Lehman Brothers Holdings Scottish LP 3 v Lehman Brothers Holdings Plc (In Administration)* [2021] EWCA Civ 1523, [2022] 2 BCLC 513 [31].

[8]Lance Ang, 'The Case for Winding Up for Inability to Pay Cryptocurrency Debts' (2024) 140 Law Quarterly Review 496.

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Money as a Technology-Neutral Means of the Transfer of Monetary Value

Nothing is more pervasive in everyday commercial transactions than money. Money is often defined by its capacity to fulfil the core economic functions of serving as a medium of exchange, store of value, and unit of account.[9] Yet, the legal conception of money remains contested. As a starting point, money can be distinguished from what it is not. As noted by Adam Smith above,[10] money serves as a medium of exchange, which distinguishes it from commodities, which are the objects of exchange.[11] This distinction is reflected in *Moss v Hancock*, in which money is defined as:

> that which passes freely from hand to hand throughout the community in final discharge of debts and full payment for commodities, being accepted equally without reference to the character or credit of the person who offers it and without the intention of the person who receives it to consume it or apply it to any other use than in turn to tender it to others in discharge of debts or payment for commodities.[12]

A further important characteristic of money is that it is issued and exchanged on the basis of its nominal value.[13] The nominalism principle means that the payee is entitled to be paid on the basis of the par value of the money of account, regardless of fluctuations in the strength of the currency due to inflation or changes in the exchange rate, subject to the parties' agreement.[14] This distinguishes money from securities such as shares, which are traded on the expectation of profit at market value which fluctuates.[15] The stability of the nominal value that money holds allows it to be used for the discharge of debts and payment for goods and services.

Means of Payment

At its simplest, money refers to fiat currency in the form of notes and coins issued by the state as legal tender.[16] Legal tender means that the currency is recognised by law to be valid for the settlement of debts and discharge of obligations.[17] As a liability of the central bank which is backed by the state's credible commitment, this allows central bank currency (also known as 'public' money)[18] to be risk-free.[19] Public money also comprises central bank reserves held by commercial banks and certain financial institutions.[20] Central bank money accords with the influential 'state theory' of money, which views money as a tangible property that is a creation of the state, which determines the measure of value of money.[21]

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[9]Monetary Authority of Singapore, 'Consultation on the Payment Services Act 2019: Scope of E-money and Digital Payment Tokens' (Dec 2019) 7 (MAS Consultation Paper 2019).

[10](n 1).

[11]See *Camdex International Ltd v Bank of Zambia (No. 3)* [1997] EWCA Civ 798, [1997] [1997] CLC 714, cited in Victoria Dixon, *Goode on Payment Obligations in Commercial and Financial Transactions* (Sweet & Maxwell 2020) para 1-07.

[12][1899] 2 QB 111, 116.

[13]*Treseder-Griffin v Cooperative Insurance Society Ltd* [1956] 2 QB 127, 144.

[14]Dixon (n 11) para 3-02.

[15]See *Securities & Exchange Commission v W.J. Howey Co.*, 328 US 293 (1946).

[16]Currency Act 1967 (Singapore), s 13(1); Currency and Banknotes Act 1954 (UK), s 1(2); Coinage Act 1971 (UK), s 2.

[17]Simon Gleeson, *The Legal Conception of Money* (Oxford University Press 2018) para 7.55; Monetary Authority of Singapore, 'Accepting Legal Tender' (30 Dec 2024) <https://www.mas.gov.sg/currency/circulation-currency/accepting-legal-tender> accessed 12 Dec 2025.

[18]Bank of England, 'The Bank of England's approach to innovation in money and payments' (Discussion Paper, 30 Jul 2024) 9 (BOE Discussion Paper 2024).

[19]*Procter and Gamble Co v Svenska Cellulosa Aktiebolaget SCA* [2012] EWHC 498 (Ch) [74]; Proctor (n 6) paras 1.51-1.64.

[20]Bank of England, 'Regulatory Regime for Systemic Payment Systems Using Stablecoins and Related Service Providers' (Discussion Paper, 6 Nov 2023) 3 (BOE Discussion Paper 2023).

[21]Georg Friedrich Knapp, *The State Theory of Money* (HM Lucas and J Bonar tr, 4th edn, Macmillan & Company Limited 1924) 24.

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Public money may be distinguished from 'private' money that is issued by private institutions, such as bank money issued by commercial banks.[22] Under the common law, courts have recognised bank money in the form of deposits as money,[23] which represent the claim of the depositor against the bank in respect of the monetary value deposited in the bank account.[24] Bank money is created by commercial banks when they lend out deposits to borrowers, such as through loans, lines of credit, and overdrafts.[25] More recently, legislation has recognised e-money as a form of money.[26] E-money transactions involve 'peer-to-peer' transfers of monetary value issued by non-bank payment service providers, such as Paypal, that have grown in popularity with increased digitisation.[27] These developments demonstrate the important role that non-bank private entities play in payments innovation, which supports the interaction and competition between public and private money in the payments ecosystem in the next stages of digitisation.[28] Digital payments such as e-money, card payments, and credit transfers surged following the COVID-19 pandemic and the increase in e-commerce.[29]

In light of these developments, it is open to question whether the predominant 'state-theory' of money sufficiently accounts for the increasing privatisation of money issued by banks and non-bank payment service providers. The 'state-theory' of money would also not account for the increasing acceptance of stablecoins as a means of payment, as we shall discuss further below. Greater public acceptance of private money would appear to be better explained by the 'societary theory' of money, which argues that it is public usage and acceptance – rather than the state – that ultimately determines whether something is money.[30]

A more recent conception of money is the 'institutional theory', which holds that money is 'no more than credit against an obligor', the acceptance of which as a medium of exchange is premised on a broad institutional framework.[31] This provides a more nuanced account of the existing 'two-tier' payments ecosystem that is dominated by bank transfers, which are anchored by central bank money as the ultimate settlement asset.[32] Under this system, the central bank facilitates the settlement finality of inter-bank transfers against central bank reserves as the anchoring risk-free asset.[33] This is supported by prudential requirements and banking supervision, deposit insurance schemes, and the central bank serving as the backstop liquidity provider in the event of liquidity pressures.[34] The anchoring role of central bank money underpins public trust in commercial bank money by effectively underwriting the credit risks of commercial bank money, which reduces the transaction

[22] BOE Discussion Paper 2024 (n 18).

[23] *North v Brown* [2012] EWCA Civ 223, 2012 WL 280505 [6].

[24] *Foley v Hill* (1848) 2 HLC 28, 9 ER 1002 (QB) [36]-[37].

[25] Bank of International Settlements, 'Annual Economic Report' (Jun 2025) 78 <https://www.bis.org/publ/arpdf/ar2025e.pdf> accessed 9 Dec 2025 (BIS Annual Economic Report); European Central Bank, 'What is money?' (updated on 19 Jun 2024) <https://www.ecb.europa.eu/ecb-and-you/explainers/tell-me-more/html/what_is_money.en.html> accessed 9 Dec 2025.

[26] See Electronic Money Regulations 2011 (UK), reg 2; Payment Services Act 2019 (Singapore), s 2(1).

[27] Dixon (n 11) para 5-69; Dan Awrey, *Beyond Banks: Technology, Regulation, and the Future of Money* (Princeton University Press, 2024) 135-136.

[28] Israel Cedillo Lazcano, *A Socio-Legal Theory of Money for the Digital Commercial Society: A New Analytical Framework to Understand Cryptoassets* (Hart Publishing 2024) 188. See also FA Hayek, *Denationalisation of Money* (Institute of Economic Affairs 1976) 47.

[29] Marc Glowka, Anneke Kosse, and Robert Szemere, 'Digital payments make gains but cash remains' (Bank of International Settlements CPMI Brief No 1, Jan 2023) <https://www.bis.org/statistics/payment_stats/commentary2301.pdf> accessed 11 Dec 2025.

[30] Proctor (n 6) para 1.30.

[31] Antonio Sáinz de Vicuña, 'An Institutional Theory of Money' in Mario Giovanoli and Diego Devos (eds), *International Monetary Policy and Financial Law: The Global Crisis* (Oxford University Press 2010) para 25.01.

[32] Charles Kerrigan, *Crypto and Digital Assets Law and Regulation* (Sweet & Maxwell 2023) para 9-001; BIS Annual Economic Report (n 25) 78-81.

[33] BIS Annual Economic Report (n 25).

[34] BIS Annual Economic Report (n 25).

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costs of parties settling transactions in commercial bank money. Public trust is also maintained by the convertibility of bank money into risk-free central bank money by obtaining cash at par.[35]

Ultimately, in order for an instrument to qualify as 'money', it must be capable of fulfilling the social expectation that it can be used for the transfer of monetary value. In other words, it must be capable of serving as a means of payment either by the physical transfer of the asset itself (like cash), or through other channels such as using a payment instrument.[36] Indeed, whether or not something is 'money' as conventionally understood, the more important question is whether the instrument fulfils the functions of payment in practical terms,[37] regardless of whether it is legal tender, publicly- or privately-issued, or exists in physical or digital form. Payment for this purpose refers to 'any commercially recognised method of transferring funds the results of which is to give the transferee the unconditional right to the immediate use of the funds transferred'.[38] This may be cash or the 'equivalent of cash' as the parties may agree.[39] Payment may be made by means other than cash as agreed so long as the payee has unconditional access to the monetary value transferred.[40]

Tokenisation of Money

As the ultimate liquid asset, money must also be storable, fungible, and divisible.[41] In this respect, the tokenisation of money facilitates liquidity and the transfer of monetary value.[42] Tokenisation refers to the issue and representation of assets in digital form via technologies like distributed ledgers.[43] Digital currencies such as Bitcoin are conceived to be issued, storable, and transferable using a public and immutable distributed ledger of transactions (ie the blockchain) through cryptographic encryption. Bitcoin's purpose was to be '[a] purely peer-to-peer version of electronic cash [that] would allow online payments to be sent directly from one party to another without going through a financial institution.'[44] Holders store their digital currencies in a software programme that is associated with unique identifiers, namely, the holder's private key and public key (ie a digital wallet).[45] Unlike conventional money, they are transferred not through centralised intermediaries such as banks, but by way of a decentralised network of miners, which process, update, and verify the record of transactions on the blockchain through consensus.[46] This consensus may be achieved using different protocols such as 'proof of work' and 'proof of stake', which are used by Bitcoin and Ethereum respectively.[47] While each digital currency unit is associated with a unique identifier like banknotes, each unit is interchangeable with one another, and, therefore, fungible.[48] However, the extent to which digital currencies are fungible in the sense of being interchangeable with central bank currency at par remains open to question and is discussed subsequently in the article.[49]

[35] Bank of England, 'New forms of digital money' (Discussion Paper, 7 Jun 2021) 22 (BOE Discussion Paper 2021).

[36] See *Reference Re Alberta Statutes* [1938] SCR 100, 116: 'money as commonly understood is not necessarily legal tender. Any medium which by practice fulfils the function of money and which everybody will accept in payment of a debt is money in the ordinary sense of the words even although it may not be legal tender.' See definition of 'payment instrument' in Payment Services Regulations 2017 (UK), reg 2(1).

[37] Ewan McKendrick, *Goode and McKendrick on Commercial Law* (6th edn, Penguin 2021) para 17.12.

[38] *The Brimnes* [1973] 1 WLR 386, 400, affirmed in *The Brimnes* [1975] QB 929.

[39] *The Brimnes* [1975] QB 929, 963.

[40] ibid, affirmed in *The Chikuma* [1981] 1 WLR 314, 320.

[41] Andrew Murray, *Information Technology Law: The Law and Society* (5th edn, Oxford University Press 2023) 454.

[42] Report to the G20 (n 5) 7.

[43] Financial Stability Board, 'The Financial Stability Implications of Tokenisation' (22 Oct 2024) 4 (FSB Report 2024).

[44] Nakamoto (n 2); Murray (n 41) 460-462.

[45] Murray (n 41) 460-461.

[46] Murray (n 41) 461-462.

[47] Kerrigan (n 32) para 2-012.

[48] *Wang v Derby* [2021] EWHC 3054 (Comm) [8]; David Fox, 'Cryptocurrencies in the Common Law of Property' in David Fox and Sarah Green (eds), *Cryptocurrencies in Public and Private Law* (Oxford University Press 2019) para 6.25.

[49] See the discussion below on the 'singleness of money'.

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Tokenised forms of payment may include central bank digital currencies (CBDCs), stablecoins, and tokenised bank liabilities.[50] Stablecoins, as the subject of this article, merit further analysis as their adoption as a means of payment has risen in recent years, and is expected to grow further with increased public confidence that is likely to follow the enactment of legal and regulatory regimes that enable their use.[51] In the wake of the volatility of earlier digital assets like Bitcoin and Ether, stablecoins emerged as a new class of digital assets that are designed to maintain stability.[52] The market capitalisation of stablecoins has risen from US$125 billion around 2023 to US$255 billion in 2025.[53] The value proposition of stablecoins is its role as 'decentralised money',[54] which is premised on its reliance on 'trustless' decentralised consensus protocols for transfers, rather than on centralised intermediaries such as banks.[55] This is touted to reduce the costs and duration of payment transactions, particularly for cross-border payments, as well as enhance payment access and transparency.[56] They can also be subject to programmable protocols using smart contracts, which reduces transaction costs.[57]

Stablecoins may be categorised into asset-linked stablecoins and algorithm-based stablecoins. Asset-linked stablecoins reference another asset or basket of assets like fiat currency, the value of which determines the value of the stablecoins.[58] Algorithm-based stablecoins purport to stabilise their value through protocols that provide for variations in the stablecoin circulation based on fluctuations in demand.[59] SCS are of particular note as they are designed to peg their value to a single fiat currency.[60] This reinforces their use as a means of payment and settlement beyond their current predominant function as an entry to and exit from the cryptoasset ecosystem.[61] SCS have been the subject of increased regulatory attention in recent years. The EU Markets in Crypto-Assets Regulation (MICA) was passed in 2023.[62] Most recently, the Guiding and Establishing National Innovation for US Stablecoins Act (GENIUS Act) was signed into law in the US in July 2025.[63]

SCS as Money: Why Does it Matter?

There are key differences in the legal consequences that follow depending on whether SCS are characterised in law as money. If SCS are not characterised as money but as commodities, agreements that provide for the use of SCS as means of payment would be potentially treated as effectively barter

[50] FSB Report 2024 (n 43) 5.

[51] International Monetary Fund, 'Understanding Stablecoins' (Departmental Paper 2025) 3 (IMF Departmental Paper).

[52] Kerrigan (n 32) paras 12-003-12-004.

[53] Iñaki Aldasoro et al, 'Stablecoin growth – policy challenges and approaches' (Bank for International Settlements, 11 Jul 2025) <https://www.bis.org/publ/bisbull108.pdf> accessed 9 Dec 2025.

[54] BIS Annual Economic Report (n 25) 83.

[55] Kerrigan (n 32) para 2-009.

[56] Bank for International Settlements, 'Considerations for the use of stablecoin arrangements in cross-border payments' (CPMI Report, Oct 2023) 9-12 <https://www.bis.org/cpmi/publ/d220.pdf> accessed 18 Dec 2025.

[57] Monetary Authority of Singapore, 'Purpose Bound Money (PBM)' (Technical Whitepaper, 20 Jun 2023) 7.

[58] Financial Stability Board, 'Regulation, Supervision and Oversight of "Global Stablecoin" Arrangements' (Final Report and High-Level Recommendations, 13 Oct 2020) 9-10 (FSB Report 2020).

[59] ibid.

[60] For example, USDC purports to be pegged 1:1 to the US dollar. 'USDC' (Circle Internet Group, Inc) <https://www.circle.com/usdc> accessed 21 Aug 2025.

[61] Monetary Authority of Singapore, 'Consultation Paper on Proposed Regulatory Approach for Stablecoin-Related Activities' (Oct 2022) para 3.5 (MAS Consultation Paper 2022); HM Treasury, 'Update on Plans for the Regulation of Fiat-backed Stablecoins' (Policy Paper, October 2023) para 1.2 (HM Treasury Policy Paper).

[62] Regulation (EU) 2023/1114 of the European Parliament and of the Council of 31 May 2023 on markets in crypto-assets, and amending Regulations (EU) No 1093/2010 and (EU) No 1095/2010 and Directives 2013/36/EU and (EU) 2019/1937 [2023] OJ L150/40.

[63] Guiding and Establishing National Innovation for U.S. Stablecoins Act, Pub L No 119-27.

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arrangements,[64] which would arguably be an artificial construction of the parties' agreement. On this basis, the failure to pay SCS as agreed would require the payee to pursue an unliquidated claim for damages, for which the payee must prove and mitigate its loss, which cannot be too remote.[65] In contrast, if SCS are characterised as money, the failure to pay SCS intended as a means of payment would entitle the payee to a claim in debt, which would be easier and quicker to enforce by summary judgment.[66] The term 'debt' is given a restricted meaning under the common law as a 'definite sum of money' which is promised to be paid as a primary obligation.[67] A debt claim is liquidated as it is fixed and does not require assessment by the court.[68] In principle, the characterisation of SCS owed as money debt would permit an award of a monetary remedy denominated in SCS in the same way as the payee may be awarded a remedy in foreign currency on the basis that this would best reflect the payee's loss.[69]

A further consequence of characterising SCS as money is that creditors which are owed SCS would not be subject to greater credit and insolvency risks as compared to creditors which are owed other forms of money.[70] For example, it would permit creditors with mutual debts denominated in SCS to rely on legal set-off to mitigate their credit risk.[71] It would also facilitate the assignment of SCS-denominated debt to other creditors to minimise their risk exposure.[72] Further, it would permit creditors to petition for a bankruptcy order on the basis of the debt owed.[73]

Legal and Regulatory Framework of SCS as a Means of Payment

Despite earlier regulatory concerns of stablecoins as a potential substitute for public money,[74] SCS have gained significant regulatory traction internationally. The UK and Singapore have introduced their respective proposed regulatory frameworks for SCS. The proposed frameworks broadly seek to facilitate the use of SCS as a means of payment in respect of three key functions: (a) the issuance, stabilisation, and redemption of SCS; (b) the custody of SCS; and (c) the transfer of SCS.[75] The proposed SCS-specific legislative provisions in the UK were published by HM Treasury in April 2025, while Singapore still awaits SCS-specific legislation after the Monetary Authority of Singapore (MAS) finalised its SCS regulatory framework in 2023. Singapore, however, was one of the earliest jurisdictions to establish an overarching legislative framework governing the issuance and regulation of digital currencies in its enactment of the Payment Services Act 2019 (PSA 2019) in 2019. In this context, the following discussion will focus on the key legislative and regulatory developments on SCS in the UK, but with references to Singapore's position as appropriate.

In the UK, the proposed Financial Services and Markets Act 2000 (Regulated Activities and Miscellaneous Provisions) (Cryptoassets) Order 2025 (Cryptoassets Order), which amends the

[64] Sarah Green, 'It's Virtually Money' in Sarah Green (eds), *Cryptocurrencies in Public and Private Law* (Oxford University Press 2019) para 2.15.

[65] *Fantom Foundation Ltd v Multichain Foundation Ltd* [2024] SGHC 173. See William Willson and Rabin Kok, 'Cryptocurrency and the claim in debt' (2023) 38 Journal of International Banking & Financial Law 25.

[66] *White & Carter (Councils) Ltd v McGregor* [1962] AC 413; Willson and Kok (n 65).

[67] *Jervis v Harris* [1996] Ch 195.

[68] *Phillips & Co v Bath Housing Co-operative Ltd* [2012] EWCA Civ 1591 [25].

[69] *Miliangos v George Frank (Textiles) Ltd* [1976] AC 443; *Services Europe Atlantique Sud (Seas) v Stockholms Rederiaktiebolag Svea* [1979] QB 491, 514; Law Commission, *Digital Assets: Final report* (Law Com No 412, 2023) para 9.100 (Law Commission Report).

[70] Ang (n 8).

[71] *Stein v Blake* [1996] AC 243.

[72] Civil Law Act 1909 (Singapore), s 4(8).

[73] Insolvency, Restructuring and Dissolution Act 2018 (Singapore), s 311(1)(b); Insolvency Act 1986 (UK), s 267(2)(c).

[74] For example, Facebook's proposal for a 'global' stablecoin, Libra, was seen as a threat to monetary sovereignty. See generally Douglas Arner, Raphael Auer, and Jon Frost, 'Stablecoins: risks, potential and regulation' (BIS Working Papers No 905, Nov 2020).

[75] FSB Report 2020 (n 58) 10.

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Financial Services and Markets Act 2000 (Regulated Activities) Order 2001, has introduced a new framework for 'qualifying cryptoassets' and 'qualifying stablecoins'. A 'qualifying stablecoin' is defined as 'a qualifying cryptoasset that – (a) references a fiat currency; and (b) seeks or purports to maintain a stable value in relation to that referenced fiat currency' by holding fiat currency (and other assets).[76] Tokenised deposits are excluded.[77] A 'qualifying cryptoasset' means a cryptoasset that is 'fungible' and 'confers transferable rights', but excludes, *inter alia*, e-money and CBDCs.[78] In this regard, the Financial Services and Markets Act 2000 defines a 'cryptoasset' as 'any cryptographically secured digital representation of value or contractual rights' that can be stored or transferred electronically using technology like distributed ledger technology.[79] Further, the Financial Services and Markets Act 2023 has extended the scope of the Banking Act 2009 and Financial Services (Banking Reform) Act 2013 to 'digital settlement assets' (DSAs).[80] DSAs refer to 'a digital representation of value or rights', which 'can be used for the settlement of payment obligations'.[81] This amendment is intended to subject systemic DSA service providers and payment systems to the supervision of the Bank of England (BOE).[82]

Issuance, Stabilisation, and Redemption

The proposed Cryptoassets Order permits qualifying stablecoins to be issued by non-bank entities authorised by the Financial Conduct Authority (FCA) as a new regulated activity.[83] Issuance would include the offer, redemption, and stabilisation of the value of the qualifying stablecoin.[84] To stabilise their value, qualifying stablecoins must be backed by 'sufficiently liquid' reserve assets valued at 100% of the stablecoins in circulation.[85] As a default requirement, such reserve assets are restricted to short-term deposits and government debt instruments, but may include a broader range of 'expanded backing assets' such as longer-term government debt instruments, subject to notification.[86] At least 5% of reserve assets must comprise on-demand bank deposits.[87] To ensure that qualifying stablecoins are not treated as deposits or investments, interest from the reserve assets cannot be passed on to holders.[88]

To prevent misuse, the reserve assets must be held in segregated accounts by an unconnected third-party on a statutory trust for the holders,[89] and subject to daily reconciliation.[90] As a key

[76]Financial Services and Markets Act 2000 (Regulated Activities) Order 2001, art 88G (inserted by Financial Services and Markets Act 2000 (Regulated Activities and Miscellaneous Provisions) (Cryptoassets) Order 2025, art 3(10)).

[77]ibid.

[78]Financial Services and Markets Act 2000 (Regulated Activities) Order 2001, art 88F (inserted by Financial Services and Markets Act 2000 (Regulated Activities and Miscellaneous Provisions) (Cryptoassets) Order 2025, art 3(10)).

[79]s 417(1).

[80]s 22.

[81]s 23(2), sch 6 para 4(4).

[82]The amendment also subjects DSA payment systems and participants to regulation by the Payment Services Regulator. HM Treasury Policy Paper (n 61) paras 4.1, 5.1.

[83]Financial Services and Markets Act 2000 (Regulated Activities) Order 2001, art 9M (inserted by Financial Services and Markets Act 2000 (Regulated Activities and Miscellaneous Provisions) (Cryptoassets) Order 2025, art 3(5)); Financial Conduct Authority, 'Stablecoin Issuance and Cryptoasset Custody' (CP25/14, May 2025), para 3.12 (FCA Consultation Paper).

[84]Financial Services and Markets Act 2000 (Regulated Activities) Order 2001, art 9M(2) (inserted by Financial Services and Markets Act 2000 (Regulated Activities and Miscellaneous Provisions) (Cryptoassets) Order 2025, art 3(5)).

[85]FCA Consultation Paper (n 83) paras 3.10, 3.30.

[86]FCA Consultation Paper (n 83) paras 3.31-3.35.

[87]FCA Consultation Paper (n 83) para 3.37.

[88]FCA Consultation Paper (n 83) paras 3.70-3.71.

[89]FCA Consultation Paper (n 83) paras 3.84, 3.92. See Financial Services and Markets Act 2000 (Regulated Activities) Order 2001, art 98 (inserted by Financial Services and Markets Act 2000 (Regulated Activities and Miscellaneous Provisions) (Cryptoassets) Order 2025, art 3(11)).

[90]FCA Consultation Paper (n 83) para 3.99.

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requirement, holders must have a contractual right to redeem the stablecoins for the referenced fiat currency at par value from the issuer by the end of the following business day.[91] Information about the reserve assets and redemption process must also be adequately disclosed to holders and potential holders online.[92] Separately, the BOE has proposed a stricter framework for sterling-denominated stablecoins deemed to be systemic, which fall under its remit.[93] By default, at least 40% of reserve assets for such SCS must be held as central bank deposits that may be used for redemption claims, with the remaining 60% held in short-term government debt securities.[94] Therefore, systemic stablecoin issuers would be required to hold a deposit account at the BOE for this purpose.[95]

The proposed Singapore regulatory framework broadly tracks the key features of the UK framework discussed above,[96] but its scope is narrower. According to the MAS, only issuers whose SCS are pegged to the Singapore Dollar or Group of Ten currencies in circulation, and which exceeds S$5 million in value would be subject to the additional regulatory requirements with respect to stabilisation and redemption. The limitation of the regulatory scope to these reference currencies is premised on the 'availability of high-quality liquid assets' denominated in the currencies for the purpose of the reserve backing requirements.[97] SCS which fall under this category would be given the regulatory classification of 'MAS-regulated SCS' to promote public confidence in their stability in value.[98]

Custody

In Singapore, the amendments to the Payment Services Regulations 2019 with respect to the custody of digital assets came into force in October 2024. Pursuant to the amendments, payment service providers must deposit holders' digital assets in a trust account maintained with a safeguarding person or held by itself on trust.[99] This safeguarding requirement is reinforced by requirements to conduct daily reconciliation of the holders' assets, and maintain records of customer transactions, as well as risk management and operational safeguards.[100]

Likewise, the FCA has proposed the safeguarding of digital assets to protect holders' ownership rights, which are modelled after its Client Assets Sourcebook (CASS) requirements.[101] Under the proposed Cryptoassets Order, safeguarding refers to the exercise of control of the digital asset by the authorised custodian on behalf of the holder, which enables the custodian to transfer the benefit of the digital asset to another.[102] 'Control' means holding or storing the means of access to the digital asset, such as the private key.[103] Custodians would also be required to hold digital assets in either

[91] FCA Consultation Paper (n 83) paras 3.119-3.132.

[92] FCA Consultation Paper (n 83) paras 3.166-3.174.

[93] Bank of England, 'Proposed regulatory regime for sterling-denominated systemic stablecoins' (Consultation Paper, 10 Nov 2025) 6 (BOE Consultation Paper).

[94] ibid 12-13.

[95] ibid 55-56.

[96] See generally Monetary Authority of Singapore, 'Response to Public Consultation on Proposed Regulatory Approach for Stablecoin-related Activities' (P009 – 2022, 15 Aug 2023) (MAS Response).

[97] The Group of Ten currencies are the United States Dollar, British Pound Sterling, Euro, Australian Dollar, Japanese Yen, Canadian Dollar, New Zealand Dollar, Swiss Franc, Norwegian Krone, and Swedish Krona. MAS Response (n 96) para 2.3.

[98] MAS Response (n 96) paras 2.3, 2.13, 2.18; MAS Consultation Paper 2022 (n 61) para 4.8.

[99] Payment Services Regulations 2019, reg 18B.

[100] Payment Services Regulations 2019, regs 18F-18H.

[101] FCA Consultation Paper (n 83) paras 4.4, 4.16. See Financial Services and Markets Act 2000 (Regulated Activities) Order 2001, art 99 (inserted by Financial Services and Markets Act 2000 (Regulated Activities and Miscellaneous Provisions) (Cryptoassets) Order 2025, art 3(11)).

[102] See Financial Services and Markets Act 2000 (Regulated Activities) Order 2001, art 9O (inserted by Financial Services and Markets Act 2000 (Regulated Activities and Miscellaneous Provisions) (Cryptoassets) Order 2025, art 3(5)).

[103] ibid.

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individual or omnibus wallets on a segregated basis on trust for the holders.[104] To mitigate difficulties in verifying holders' ownership rights, this is supplemented by the requirement to maintain internal records that identify the respective claims to the cryptoassets of each holder,[105] along with daily reconciliation requirements.[106]

Transfer

To facilitate transfers of SCS for payment and settlement in Singapore, the PSA 2019 is expected to be amended to empower the MAS to supervise stablecoin arrangements as payment systems.[107] Systemic stablecoin arrangements will be designated accordingly as payment systems, which would be subject to regulation under the PSA 2019 and Payment and Settlement Systems (Finality and Netting) Act 2002.[108] The MAS has also proposed that transfers of MAS-regulated SCS must be completed within three business days in line with the requirement for domestic money transfers. However, it noted that such transfers may not entirely be within the control of the intermediary on account of the transfers being performed on the distributed ledger.[109]

Likewise, the BOE has noted the challenges of attributing legal accountability for the governance of the distributed ledger which is not subject to the control of a distinct entity. It has, therefore, expressed its reservations on the use of public permissionless blockchains, while remaining open to their use, noting that most transfers of digital assets are performed by such blockchains.[110] In this regard, the governance of the distributed ledger may implicate the settlement of transactions, which is considered further later in this article. The FCA, for its part, has stated that qualifying stablecoins may be issued using all types of distributed ledgers, including public, private, permissionless, or permissioned blockchains.[111] Importantly, however, it has emphasised that the redemption right against the issuer and the other contractual rights of the holder must be 'effectively transferred in law' from one holder to another.[112] The transferability of digital assets is considered further below.

Summary and Analysis

The broad objective of the proposed SCS regulatory frameworks in the UK and Singapore is to strengthen public confidence in the use of SCS as a medium of exchange that is complementary to, rather than a substitute for, bank money. It does so on the basis of the 'trust' model rather than the 'deposit' model that sustains bank money.[113] The proposed Cryptoassets Order expressly provides that sums which are exchanged for qualifying stablecoins are not deposits.[114] In the absence of deposit insurance, the imposition of safeguarding requirements for reserve assets are intended to serve as a functional substitute for bank-like regulation. They are intended to ensure that issuers hold enough reserve assets to maintain the one-to-one peg value of the SCS, which are to be held on trust and ring-fenced from the claims of its creditors to ensure that issuers can meet the redemption claims of holders.[115] The stabilisation of the one-to-one peg would, in principle, allow SCS to be a store of value and used to discharge debts at nominal rates.

[104]FCA Consultation Paper (n 83) para 4.29.
[105]FCA Consultation Paper (n 83) paras 4.39-4.40.
[106]FCA Consultation Paper (n 83) para 4.45.
[107]MAS Response (n 96) para 7.3.
[108]ibid.
[109]ibid para 6.6.
[110]BOE Consultation Paper (n 93) 45-47; BOE Discussion Paper 2023 (n 20) 30, 49-51.
[111]FCA Consultation Paper (n 83) para 3.21.
[112]FCA Consultation Paper (n 83) para 3.127.
[113]BOE Discussion Paper 2023 (n 20) 66.
[114]Financial Services and Markets Act 2000 (Regulated Activities) Order 2001, art 9AZA (inserted by Financial Services and Markets Act 2000 (Regulated Activities and Miscellaneous Provisions) (Cryptoassets) Order 2025, art 3(4)).
[115]See Steven L Schwarcz, 'Money: A Functional Analysis' (2025) 30 Stanford Journal of Law, Economics & Business 1, 19.

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In this regard, the redemption requirements are integral in ensuring the credibility of the one-to-one peg, and consequently, the interchangeability between SCS and fiat currency at par value. Currently, redemption rights at par value are limited and not guaranteed for all holders.[116] Many SCS issuers allow only institutional holders to redeem SCS directly, while non-institutional holders have to sell their SCS on the secondary market at the risk of loss.[117] This limits the function of SCS as a store of value. A standardised redemption claim for all SCS holders for the underlying monetary value, as proposed under the regulatory frameworks, reinforces public trust in the interchangeability of SCS with the underlying monetary value at par. In some ways, the holder's redemption claim against the issuer parallels the convertibility of bank deposits for cash. One difference is that an SCS holder would have a proprietary claim in respect of the reserve assets held by the custodian on trust on its behalf,[118] rather than an unsecured claim of a bank depositor in the event of insolvency.[119] Insolvency risk is further mitigated by bank-like prudential requirements imposed on the intermediary.[120] The MAS, for example, has proposed that the issuer maintains base capital of S$1 million or 50% of annual operating expenses (whichever is higher), and sufficient liquid assets for recovery or an orderly wind-down.[121]

Even so, the right to redeem SCS for fiat currency would be worth little in the event of a maturity mismatch between the issuer's reserve assets and its short-term redemption liabilities. This may create a stablecoin run from a loss of confidence.[122] The credit, liquidity, and market risks of the reserve assets would be borne indirectly by the SCS holders.[123] For this reason, the BOE had originally proposed that systemic SCS should be fully backed by central bank money in the form of risk-free deposits held at the BOE.[124] Following pushback from market players, it backtracked to its current proposed default requirement of 40% of reserve assets held as central bank deposits.[125] A careful balance needs to be struck between mitigating the holder's credit risk in holding SCS, and facilitating the viability of stablecoin business models along with permitting controlled innovation in a nascent industry. In this connection, reference may be made to the relevant safeguarding requirements of funds received by e-money issuers in the form of investments in 'secure, liquid, low-risk assets', as prescribed pursuant to the Electronic Money Regulations 2011, as appropriate.[126] Further measures to mitigate this risk may include providing a bank-like liquidity lifeline to SCS issuers by the central bank if the risk is systemic.[127]

[116] IMF Departmental Paper (n 51) 9.

[117] FCA Consultation Paper (n 83) paras 2.18-2.19. See also Cy Watsky et al, 'Primary and Secondary Markets for Stablecoins' (FEDS Notes, 23 Feb 2024) < https://www.federalreserve.gov/econres/notes/feds-notes/primary-and-secondary-markets-for-stablecoins-20240223.html> accessed 19 Dec 2025.

[118] See *Vintage Bullion DMCC (in its own capacity and as representative of the customers of MF Global Singapore Pte Ltd (in creditors' voluntary liquidation)) v Chay Fook Yuen (in his capacity as joint and several liquidator of MF Global Singapore Pte Ltd (in creditors' voluntary liquidation))* [2016] 4 SLR 1248, [2016] SGCA 49.

[119] *Foley* (n 24).

[120] See generally Financial Conduct Authority, 'A prudential regime for cryptoasset firms' (Consultation Paper CP25/15, May 2025) for the relevant prudential requirements proposed by the FCA. See also BOE Consultation Paper (n 93) 18-25.

[121] MAS Response (n 96) paras 3.11-3.17.

[122] Carlos Cantú, Jon Frost, and Thomas M Noone, 'Some Perspectives on the Regulation of Stablecoins' (2025) 87 Law and Contemporary Problems 129, 138.

[123] IMF Departmental Paper (n 51) 23-25.

[124] BOE Discussion Paper 2023 (n 20) 55-59.

[125] BOE Consultation Paper (n 93) 14.

[126] Electronic Money Regulations 2011 (UK), reg 21. For the latest proposed safeguarding requirements for e-money issuers, see Financial Conduct Authority, 'Changes to the safeguarding regime for payments and e-money firms' (Policy Statement, PS25/12) (FCA Policy Statement).

[127] BOE Consultation Paper (n 93) 13. See also Phoebus L Athanassiou, 'Squaring the circle? Stablecoins, deposit guarantee protection and substitutability of stablecoins for bank deposits' (2021) 36 Journal of International Banking Law and Regulation 210; M Shabir Korotana, 'The role of stablecoins in the economy and evolving regulatory framework' (2025) 40 Journal of International Banking Law and Regulation 49.

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In line with the objective to facilitate SCS as a medium of exchange, it is notable that the proposed Singapore framework has singled out only stablecoins that reference a single fiat currency[128] on the basis that they present a 'stronger use case for payment and settlement.'[129] However, the UK position is not entirely clear in this regard. While the definition of 'qualifying stablecoins' refers to stablecoins that reference 'a fiat currency',[130] HM Treasury has suggested that qualifying stablecoins may include 'a stablecoin that references one or more fiat currencies'.[131] It is difficult to see, however, how multi-currency pegged stablecoins would accord with the stated objective of facilitating the use of fiat-referenced stablecoins as a means of payment given the difficulty of determining the nominal value of the referenced assets.[132] Foreign currency fluctuations make it challenging for such stablecoins to be used to discharge debts at nominal rates, as an important characteristic of money.[133]

However, it is at least clear that algorithm-based stablecoins and asset-linked stablecoins other than fiat-referenced currencies would fall outside the proposed Singapore and UK frameworks. Such stablecoins would fall under the UK framework for 'unbacked cryptoassets' that may be proposed in due course.[134] Indeed, stablecoins pegged to assets other than a single fiat currency cannot be considered to be a digital representation of monetary value that can function as a means of payment on the basis of the nominal value of the instrument. Instead, they are investment-like digital currencies that function more like financial instruments and should, therefore, be regulated as such.[135] For non-fiat referenced stablecoins, their value would be affected by the volatility of the market value of the referenced assets;[136] for algorithm-based stablecoins, they are generally under-collateralised and rely instead on incentives for holders to use deviations from the peg as arbitrage opportunities.[137] The higher volatility of such stablecoins undermines their use as a stable medium of exchange and store of value.

The proposed regulatory frameworks, as a whole, would subject existing SCS with different risk profiles and governance structures to uniform baseline standards, particularly with respect to their stabilisation mechanisms and management of reserve assets. This mitigates the problem of informational asymmetries, which reduces the transaction costs of SCS-denominated payments.[138] This is arguably preferable to 'free market' competition amongst different SCS under the so-called 'Hayakian model' that ostensibly promotes payments innovation in the public interest.[139] The proposed frameworks would also provide the basis for the further development of SCS as a credible store of value

[128]Specifically, only those which are pegged to the Singapore Dollar or Group of Ten currencies (n 97).

[129]MAS Consultation Paper 2022 (n 61) para 3.5.

[130]See text to (n 76).

[131]HM Treasury, 'Future financial services regulatory regime for cryptoassets (regulated activities) (regulated activities): Policy Note' (29 Apr 2025) <https://www.gov.uk/government/publications/regulatory-regime-for-cryptoassets-regulated-activities-draft-si-and-policy-note/future-financial-services-regulatory-regime-for-cryptoassets-regulated-activities-policy-note-accessible> accessed 21 Aug 2025 (HM Treasury Policy Note).

[132]HM Treasury Policy Paper (n 61) para 1.2. See FCA Consultation Paper (n 83) para 3.18.

[133]See eg *Woodhouse A.C. Israel Cocoa Ltd. S.A. and Another v Nigerian Produce Marketing Co. Ltd.* [1971] 2 QB 23, [1971] 2 WLR 272.

[134]HM Treasury, 'Future financial services regulatory regime for cryptoassets: Response to the Consultation and call for evidence' (Oct 2023) paras 4.41-4.44. See also MAS Consultation Paper 2022 (n 61) paras 3.5, 4.7.

[135]For the EU context, see Dirk Zetzsche and Jannik Woxholth, *The EU Law on Crypto-Assets: A Guide to European FinTech Regulation* (Cambridge University Press 2025) 78.

[136]These would fall in the category of 'asset-referenced tokens' under MICA, art 3(1)(6). See also MICA, art 39(2) cf art 49(4); Kacper Wosiak, 'Definitional delineation between MiCAR tokens and traces of MiCAR's technological bias' (2025) 20 Capital Markets Law Journal 1, 4-5.

[137]The collapse of Terra USD, which was an algorithm-based stablecoin, is a case in point. Jiageng Liu, Igor Makarov, and Antoinette Schoar, 'Anatomy of a Run: The Terra Luna Crash' (NBER Working Paper No. 31160, Apr 2023) 12.

[138]See MAS Consultation Paper 2019 (n 9) 7; Firat Cengiz, 'Stablecoins and their regulation: a Hayekian approach' (2025) 28 Journal of International Economic Law 204.

[139]See generally Cengiz (n 138); Hayek (n 28).

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and medium of exchange that co-exists with other forms of payments within the broader payment ecosystem.

SCS as Money: A Substance over Form Approach

In light of the proposed regulatory frameworks in the UK and Singapore above, it is argued that SCS should be characterised as money under the common law in order to respond to, and facilitate the use of, such digital currencies as a means of payment which is likely to increase as a result of these regulatory developments. It is apparent that none of the proposed frameworks purport to confer legal tender status on SCS, which is reserved for central bank money. However, they are intended to facilitate the use of SCS as a means of payment within the broader public. As the BOE explained, '[t]he Bank's vision for the future of the UK's payments landscape is one of a "multi-money" mixed ecosystem. It is where different forms of money (including stablecoins) coexist to maximise benefits for households and businesses.' Under this ecosystem, money would include 'traditional commercial bank money, e-money, tokenised deposits, stablecoins as well as other new forms of digital money that may emerge over time.'[140] The proposed requirements for systemic payment stablecoins, according to the BOE, are intended to ensure public confidence in their use as 'a form of private money.'[141] Similarly, as the FCA stated, '[q]ualifying stablecoins should operate as money-like instruments'. In this regard, for the purpose of the FCA's issuance and safeguarding requirements, the proposed Cryptoassets Order specifies that the term 'money' under the Financial Services and Markets Act 2000 would include qualifying cryptoassets, as well as the sums received or held as reserve assets.[142]

Likewise, the MAS has determined that stablecoins have the potential to perform 'the role of a credible digital medium of exchange', provided that they are appropriately regulated to ensure stability in value.[143] Under the PSA 2019, 'digital payment tokens' – a category which would include SCS[144] – are defined as a digital representation of value that, *inter alia*, 'is, or is intended to be, a medium of exchange accepted by the public, or a section of the public, as payment for goods or services or for the discharge of a debt'.[145] On this basis, digital assets are contemplated to serve the equivalent functions of money.[146]

In light of this, under the substance over form approach, as discussed below, it is argued that payment-like digital currencies – particularly SCS that fall under the proposed regulatory frameworks in the UK and Singapore – may be characterised as money. This characterisation accords with their purpose of discharging a debt or payment obligation at their nominal value, as opposed to investment or speculation. This characterisation would align with the overarching regulatory intent

[140]BOE Consultation Paper (n 93) 58.

[141]BOE Discussion Paper 2023 (n 20) 62.

[142]Financial Services and Markets Act 2000 (Regulated Activities) Order 2001, arts 98-99 (inserted by Financial Services and Markets Act 2000 (Regulated Activities and Miscellaneous Provisions) (Cryptoassets) Order 2025, art 3(11)); FCA Consultation Paper (n 83) para 1.25.

[143]MAS Consultation Paper 2022 (n 61) para 2.3.

[144]Monetary Authority of Singapore, 'Frequently Asked Questions (FAQS) on the Payment Services Act (PS Act)' (19 Apr 2024) para 23.6 (MAS FAQs).

[145]Payment Services Act 2019 (Singapore), s 2(1).

[146]See also the GENIUS Act, s 2(22), which defines 'payment stablecoins' as a digital asset 'that is, or is designed to be, used as means of payment or settlement', which is tied to the underlying monetary value to which it is pegged, and which is not a currency, deposit, or security. 'Money' is defined separately as 'a medium of exchange currently authorized or adopted by a domestic or foreign government', including 'a monetary unit of account established by an intergovernmental organization or by an agreement between 2 or more countries.' (s 2(18)) It has been argued that the GENIUS Act permits payment stablecoins that fall under its scope 'to circulate like traditional money.' Nicholas Barry Creel, 'The GENIUS Act: a legal analysis of the new framework for stablecoin regulation in the United States' (2025) 40 Journal of International Banking Law and Regulation 389, 390.

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for the use of such instruments as a means of payment 'without reference to the character or credit of the person who offers it', rather than securities or commodities in barter arrangements.[147]

Substance over Form

As discussed above, the state-centric legal conception of money – which is largely premised on money as an expression of sovereign authority and which remains highly influential to this day[148] – inadequately accounts for the growth and circulation of both current and future forms of private money, such as bank money, e-money, and stablecoins.[149] As an alternative, a substance over form and technologically-neutral approach to the characterisation of money is preferable in a 'multi-money' mixed ecosystem.[150] Money – under the substance over form approach – may be characterised as the physical or digital representation of value that serves as a means of payment with reference to the nominal value of the instrument, the use of which is facilitated or supported by the state's legal and regulatory framework even if it is not issued by the state. On the basis of this approach, as explained previously, whether an instrument is capable of serving as a means of payment depends on whether it can function as a means of the transfer of monetary value between parties, regardless of its underlying technology. This function is enabled if the instrument issued constitutes a valid transferable claim of the underlying monetary value for the discharge of payment obligations that is recognised and enforceable by law.

The reason why we accept money such as banknotes and commercial bank money for the discharge of legal obligations is because, at its core, money embodies a transferable claim recognised and enforceable by law. This recalls the less cited but no less important 'credit theory' of money. According to the theory, a sale and purchase operates by way of 'the exchange of a commodity for a credit'.[151] On the premise that '[c]redit and credit alone is money', monetary value lies in the rights of the creditor to receive payment.[152] Monetary transfers, thus, operate by way of an exchange of claims against the issuer within a network of creditor-debtor relationships.[153] Banknotes, as promissory notes,[154] transfer monetary value in the form of a claim against the central bank to exchange one note for a lower denomination.[155] Bank money represents a claim against the bank to convert the deposit into cash on demand, and the bank's promise to transfer such claims to other parties as instructed by the payer.[156] Transfers of monetary value using bank money operate by way of the substitution of a claim of the payee against the payee's bank for the claim of the payer against the payer's bank.[157] Likewise, as highlighted by the FCA, under the proposed regulatory framework, the holder's right to redeem the stablecoins for the referenced fiat currency at par value from the issuer must be transferable in law to the next holder.[158] This enables SCS to function as a liquid circulating

[147] *Moss* (n 12).

[148] For example, in the current edition of *Mann and Proctor on the Law of Money*, as the leading text on the subject, the following essential 'legal characteristics' of money are set out that are based largely on the 'state theory' of money: (a) it must denominated in the legally-prescribed unit of account; (b) the unit prescribed must be an accepted medium of exchange and measurement of value in the state; and (c) the central bank or monetary authority must be responsible for issuing the currency. Proctor (n 6) paras 1.19, 1.72-1.73.

[149] See BOE Discussion Paper 2021 (n 35) 20-24.

[150] BOE Consultation Paper (n 93) 58.

[151] A Mitchell Innes, 'The Credit Theory of Money' (1914) 31 Banking Law Journal 151, 168.

[152] ibid 152, 168.

[153] Tobias Adrian et al, 'Trust bridges and money flows' (BIS Working Paper No 1112, Jul 2023); Shuping Li and Shen Wei, 'Cryptocurrencies, Money and Law' (2023) 38 Journal of International Banking Law and Regulation 57, 63. Some have described money as a 'promise to pay' or IOU. Awrey (n 27) 15-16.

[154] Bills of Exchange Act 1882 (UK), s 89; *Suffel v Bank of England* [1882] 9 QBD 555, 563; Proctor (n 6) para 1-80.

[155] Currency and Banknotes Act 1954 (UK), s 1(4).

[156] *Foley* (n 24); Awrey (n 27) 16.

[157] *R v Preddy* [1996] AC 815; David Fox, *Property Rights in Money* (Oxford University Press 2008) paras 5.23-5.24.

[158] FCA Consultation Paper (n 83) para 3.127.

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asset within the community by representing a transferable claim of the underlying monetary value against the issuer.

Rather than being premised on the state's role as the issuer of money, this broader approach acknowledges the state's supportive role in providing the appropriate legal and regulatory framework in order for the transferable claim to be enforced by law.[159] This role is exercised under the proposed regulatory frameworks above by means such as the issuing of licenses to private entities that permit them to issue private money, and ensuring that such money is exchangeable with central bank money at par.[160] It is this supportive role in the form of the legal and regulatory treatment of the instrument that facilitates and enables the social recognition of the instrument as money, and underpins social trust in the value of both public and private money as a medium of exchange. Contrary to what is commonly assumed, money, as a social construct, derives its worth not from any intrinsic value, but its extrinsic value.[161] That is, its worth lies in its face value that people are willing to accept as the basis for the discharge of obligations because they trust that others would do so likewise.[162] This allows money to function as a circulating medium based on 'custom or usage prevailing generally'.[163] By analogising USDT with money, the Singapore High Court in *ByBit Fintech Ltd v Ho Kai Xin* stated that: 'It is only because people generally accept the exchange value of shells or beads or differently printed paper notes that they become currency. Money is accepted by virtue of a collective act of mutual faith.'[164] On this basis, money may be seen as a social construct, as much as it is a legal construct.

The substance over form approach, it is contended, finds support in the pragmatism of the common law in being responsive to commercial developments and changing market practices. The monetary status of Bank of England notes, for example, was recognised in 1758 in one of the earliest cases on how money is viewed in law. At the time, as the BOE was not granted legal monopoly in the issue of currency when it was established in 1694, BOE notes circulated alongside private banknotes as *de facto* media of exchange.[165] In *Miller v Race*, it was accepted that in the course of trade, such notes were 'paid by and received of the holder or possessor of them, as cash'.[166] On this basis, Lord Mansfield stated that BOE notes do not resemble and should not be compared to 'goods, or to securities, or documents for debts', but:

> are treated as money, as cash, in the ordinary course and transaction of business, by the general consent of mankind; which gives them the credit and currency of money, to all intents and purposes. They are as much money, as guineas themselves are; or any other current coin, that is used in common payments, as money or cash.[167]

Characterisation of Digital Currencies

On the basis of the substance over form approach, it is argued that payment-like digital currencies must be distinguished from investment-like digital assets. In this regard, digital assets may be broadly categorised into exchange tokens, security tokens, and utility tokens.[168] Security tokens

[159] See also Emilios Avgouleas and William Blair, 'The Concept of Money in the 4th Industrial Revolution – A Legal and Economic Analysis' (2020) Singapore Journal of Legal Studies 4.

[160] See BOE Discussion Paper 2023 (n 20) 12-14.

[161] Compare the 'metallist school', which holds that money, such as metal coins, derive their worth from their intrinsic value. Gleeson (n 17) paras 4.11-4.15.

[162] MAS Consultation Paper 2019 (n 9). See also Lazcano (n 28) 82-83.

[163] *Goodwin v Robarts* (1874-75) LR 10 Ex 337, 346.

[164] USDT is a stablecoin pegged to the US dollar. 'FAQs' (Tether) <https://tether.to/en/faqs> accessed 17 Jun 2026. [2023] SGHC 199. However, the Court did not go so far as to state that digital currency has been generally accepted as money.

[165] Bank of England Act 1694 (5 & 6 Will & Mar c 20) (UK); Gleeson (n 17) para 5.16; Proctor (n 6) paras 1.20-1.21.

[166] (1758) 1 Burr 452, 452.

[167] ibid 457.

[168] Financial Conduct Authority, 'Guidance on Cryptoassets' (Policy Statement PS19/22, July 2019) 4.

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would patently not constitute money as they do not serve to transfer monetary value, but function as a digital representation of the holder's rights to investments, like shares or debt instruments. Likewise, utility tokens, which grant holders access to a product or service, would not constitute money.[169] Exchange tokens, in contrast, are digital currencies that are not issued or backed by the central bank, and are designed to function as a medium of exchange.[170]

While exchange tokens, as a category in itself, may, in theory, function as a means of payment provided that the transacting parties agree, certain attributes lend the quality of 'money-ness'[171] to certain exchange tokens more than others. For example, exchange tokens like Bitcoin were originally conceived and has been argued to be a form of private money.[172] However, such exchange tokens have no nominal value, are not backed by any reserve assets, and are not pegged to any fiat currency. Their resulting volatility makes them much less fit for purpose as a means of payment. In contrast, the relative stability of stablecoins – specifically SCS – make them stronger candidates for use as a means of payment, which gives them a stronger claim to the characterisation as money.

Even so, as discussed further below, not all stablecoins may necessarily be able to perform this function either, which would depend on their respective functional characteristics, such as the design of the pegging mechanism. It suffices, however, for present purposes to state that a legal distinction needs to be made between digital currencies that are able to function effectively as a means of payment, and other investment-like digital currencies that function more like a means of investment or speculation like financial instruments. This would depend on their respective attributes. In the final analysis, whether digital currencies should be characterised as money is a fact-specific and context-driven inquiry,[173] and ultimately depends on their functional characteristics and the purpose of their use on a case-by-case basis.[174]

Analogy with E-Money

Under the proposed regulatory frameworks, e-money and SCS share certain similarities insofar as they are both issued on the receipt of fiat currency by an issuer, and are a digital representation of the underlying monetary value on a one-to-one basis.[175] Unlike bank money, this monetary value does not constitute deposits.[176] Instead, it is derived from, and not independent of, the value of the referenced fiat currency, and represents a transferable claim on the issuer in respect of the monetary value that can be redeemed at par value.[177] Specifically, qualifying stablecoins (and other qualifying cryptoassets) are defined under the proposed Cryptoassets Order as cryptoassets which are 'transferable', such as where they confer 'transferable rights'.[178] Both e-money and SCS issuers are (or would be)

[169] ibid.

[170] ibid.

[171] Ulrich Bindseil, Charles-Enguerrand Coste, and George Pantelopoulos, 'Digital money and finance: a critical review of terminology' (ECB Working Paper Series No 3022, 2025) 25.

[172] Nakamoto (n 2); Green (n 64).

[173] cf *Perrin v Morgan* [1943] AC 399; [1943] 1 All ER 187.

[174] See Gleeson (n 17) para 7.17.

[175] Payment Services Act 2019 (Singapore), s 2(1); Electronic Money Regulations 2011 (UK), s 2(1); IMF Departmental Paper (n 51) 11.

[176] Payment Services Act 2019 (Singapore), s 2(1); MAS FAQs (n 144) para 19.3; Financial Services and Markets Act 2000 (Regulated Activities) Order 2001, SI 2001/544 (UK), art 9A; Financial Services and Markets Act 2000 (Regulated Activities) Order 2001, art 9AZA (inserted by Financial Services and Markets Act 2000 (Regulated Activities and Miscellaneous Provisions) (Cryptoassets) Order 2025, art 3(4)).

[177] Payment Services Act 2019 (Singapore), ss 2(1), 19(4); Electronic Money Regulations 2011 (UK), regs 2(1), 39. See further Johanna Jacques, 'E-money and Trusts: A Property Analysis' (2022) 138 Law Quarterly Review 605.

[178] Financial Services and Markets Act 2000 (Regulated Activities) Order 2001, art 88F (inserted by Financial Services and Markets Act 2000 (Regulated Activities and Miscellaneous Provisions) (Cryptoassets) Order 2025, art 3(10)).

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required to fully back their liabilities against which the monetary value is maintained.[179] On this basis, it may be argued that transfers in e-money and SCS both involve the transfer of property representing the bundle of rights enforceable against the issuer between the payer and payee by way of the destruction of the payer's claim on the issuer and the creation of the payee's claim on the issuer.[180]

It may be argued, however, that SCS is different from e-money because the latter is a 'facilitator' of bank money as it is issued and redeemed in exchange for bank money.[181] However, under the proposed regulatory frameworks above, it is similarly contemplated that SCS would be exchanged for bank money between the holder's digital wallet and bank account as part of the on and off-ramping processes.[182] To the extent that SCS may be purchased and redeemed in bank money as contemplated, it may be argued that SCS transactions do not entirely remove the bank's intermediation role in payment transactions.[183] In this connection, e-money has been argued to be a medium of exchange in and of itself: it can be used by holders to make payments on a peer-to-peer basis *ad infinitum* until the payee at the end of the payment chain invokes its redemption right and exchanges it for bank money.[184] The same may be said for SCS. In this sense, SCS may be said to perform a similar role as e-money by functioning as permanent 'electronic surrogates for coins and banknotes'.[185]

Nevertheless, the analogy with e-money is not a perfect one. A key difference is that unlike e-money, SCS may be transferred on the blockchain on a peer-to-peer basis without the issuer's intermediation.[186] Transfers of SCS are confirmed if they are recorded on the blockchain,[187] and can be considered as a form of 'blockchain-based' type of e-money.[188] For this reason, SCS are not considered to be e-money in the strict sense and are likely to be subject to different regulatory treatment in the UK and Singapore under the proposed frameworks.[189] That said, on a substance over form approach, that SCS rely on a decentralised blockchain mechanism for transfers should not obscure the fact that monetary value may be transferred like bank and e-money transfers as a matter of economic substance.[190]

In this regard, while the UK Law Commission stopped short of recognising digital currencies as money – an issue which fell outside the ambit of its report – it stated that such recognition was not necessary in order for ownership to be transferred in the same way as money under the common law.[191] According to the Law Commission, as digital currencies have 'some inherent bearer-like qualities', they may be treated as negotiable if it is 'the clear intention and developed custom of users' on the basis that they 'are designed to enable peer-to-peer transfers of value'.[192] This characteristic

[179]Payment Services Act 2019 (Singapore), s 23(4) (which applies to major payment institutions); Electronic Money Regulations (UK), reg 20(1); FCA Policy Statement (n 126). See Charles-Enguerrand Coste and George Pantelopoulos, 'Central bank money as a catalyst for fungibility: the case of stablecoins' (ECB Working Paper Series No 3111) 16.

[180]Fox, 'Cryptocurrencies in the Common Law of Property' (n 48) paras 6.18-6.19; Li and Wei (n 153) 64-65; Law Commission Report (n 69) paras 6.29-6.31. See also *Tulip Trading v Van der Laan* [2023] EWCA Civ 83, [2023] 4 WLR 16, [25].

[181]Christian Hofmann, 'The Impact of a Digital Dollar on Singapore's Depositors, Banking Sector and Monetary System' (2023) 39 Banking and Finance Law Review 381, 382-383.

[182]BOE Consultation Paper (n 93) 17; FCA Consultation Paper (n 83) para 3.110.

[183]Benjamin Geva, 'Cryptocurrencies and the Evolution of Banking, Money, and Payments' in Chris Brummer (ed), *Cryptoassets: Legal, Regulatory, and Monetary Perspectives* (Oxford University Press 2019) 36.

[184]See MICA, recital (18); Jacques (n 177).

[185]MICA, recital (18).

[186]MAS Consultation Paper 2022 (n 61) para 3.7.

[187]Dixon (n 11) paras 5-70, 5-74.

[188]Tobias Adrian and Tommaso Mancini-Griffoli, 'The Rise of Digital Money' (International Monetary Fund Note /19/01) 4.

[189]HM Treasury Policy Note (n 131); MAS Consultation Paper 2022 (n 61) para 3.7; MAS FAQs (n 144) para 23.6.

[190]See Fox, 'Cryptocurrencies in the Common Law of Property' (n 48) paras 6.19, 6.43-6.44; David Fox, 'Digital assets as transactional power' (2022) 1 Journal of International Banking & Financial Law 3.

[191]Law Commission Report (n 69) paras 6.71-6.74.

[192]ibid paras 6.81, 6.84.

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of negotiability enables SCS to function as 'digital bearer instruments' in representing a transferable claim of the underlying monetary value against the issuer.[193] On this basis, the defence of good faith purchase for value without notice under the common law – that applies to transfers of money and negotiable instruments[194] – may be argued to apply by analogy to transfers of payment-like digital currencies which replicate the functional characteristics of money.[195] Notwithstanding the *nemo dat quod non habet* rule, an innocent transferee of SCS should, therefore, be able to obtain good title to the SCS that it receives in good faith for valuable consideration, even if the transferor might not have had good title (as in the case where it is stolen).[196] This would facilitate and accord with the use of SCS as a circulating medium of exchange as contemplated under the proposed regulatory frameworks.[197]

Unit of Account of SCS

One may object to the characterisation of SCS as money on the basis that they are not denominated in the legally-prescribed accounting unit, but in 'virtual accounting units'.[198] These are the 'native notional quantity unit[s]' that are a function of the relevant blockchain.[199] The function of money as a unit of account serves as the 'universal denominator of value' for all obligations that may be exchanged.[200] On this premise, the unit of account must be prescribed by the law of the state, as one of the last remaining strictures of the 'state theory' of money.[201] It may be argued that a unit of account that is not prescribed by the law of the state undermines the function of money in providing a 'common financial denominator' for all transactions in the economy.[202]

SCS that fall under the proposed regulatory frameworks, however, are arguably structurally different from self-denominated cryptocurrencies such as Bitcoin. SCS are 'non-native' or 'exogenous' as they represent a claim on the issuer in respect of real-world units of fiat currency (as the referenced asset) that exist outside the blockchain.[203] The regulatory requirements that provide for the stabilisation of the one-to-one peg with the referenced currency, together with the holder's redemption claim, preserve the existing unit of account role of money.[204] On this basis, the unit of account of the SCS represents, and is therefore the functional equivalent of, the unit of account of the referenced currency. For example, XSGD, which is a stablecoin that is one-to-one pegged with the Singapore Dollar, would have the same unit of account as the Singapore Dollar.[205] On an alternative view, it may be argued that the unit of account of SCS is analogous with a foreign currency unit of account. On the basis that parties may agree to value the debt in terms of a foreign unit of account, SCS is arguably money inasmuch as foreign currency is recognised as money.[206] On either view, the unit of account function of money is not undermined by the characterisation of SCS as money.

[193] ibid paras 3.52, 4.57; Rodney Garratt and Hyun Song Shin, 'Stablecoins versus tokenised deposits: implications for the singleness of money' (BIS Bulletin No 73, 11 April 2023). See also FCA Consultation Paper (n 83) para 3.127.

[194] *Miller* (n 166).

[195] Law Commission Report (n 69) paras 6.61, 6.71-6.76.

[196] *Miller* (n 166).

[197] See also Uniform Commercial Code §§ 12-102(a)(2), 12-104(d) (US).

[198] Case C-264/14 *Skatteverket v Hedqvist* [2016] STC 372 [13].

[199] Kerrigan (n 32) para 1-006.

[200] Fox, *Property Rights in Money* (n 157) para 1.25

[201] Dixon (n 11) para 1-04; Fox, 'Cryptocurrencies in the Common Law of Property' (n 48) para 6.62.

[202] See European Central Bank, 'Report on Electronic Money' (Aug 1998) 14 <www.ecb.europa.eu/pub/pdf/other/emoneyen.pdf> accessed 21 Dec 2025 (ECB Report).

[203] FSB Report 2024 (n 43) 4; Michael Bridge et al, *The Law of Personal Property* (3rd edn, Sweet & Maxwell 2021) para 8-051.

[204] See ECB Report (n 202).

[205] StraitsX SGD Issuance Pte. Ltd., 'Stablecoin rails for real-world payments' (Oct 2024) <https://cdn.prod.website-files.com/6119d1f2b05f8e85e873971a/6836b014a7daec0f92f1e984_StraitsX%20XSGD%20Whitepaper%20-%20V1.0.docx.pdf> accessed 21 Dec 2025.

[206] *Miliangos* (n 69); Law Commission Report (n 69) para 9.100.

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Challenges and Limitations

While this article has discussed the arguments in favour of characterising SCS as money under the proposed substance over form approach in light of the proposed frameworks in the UK and Singapore, it is necessary to consider some of the potential challenges and limitations with respect to such a characterisation. The following discussion briefly considers some of these challenges, which are intended as a starting point for a fuller analysis in a separate discussion.

Settlement. First, unlike e-money or bank money, SCS payments are disintermediated and settled on the blockchain, which poses risks to settlement finality.[207] Settlement finality refers to the 'irrevocable and unconditional transfer of an asset' for the full discharge of obligations between the parties.[208] Settlement of bank money is 'deterministic' as they are settled through bank intermediation, and ultimately settled in central bank money as the ultimate risk-free settlement asset.[209] In contrast, peer-to-peer payments on the blockchain are based on the functional equivalent of settlement performed according to the rules of the relevant consensus protocols.[210]

Currently, most transfers of stablecoins are performed on public permissionless blockchains such as Ethereum, which is based on proof-of-stake consensus protocol.[211] Exceptionally, settlement risk may occur due to a 'fork' in the ledger that creates two separate ledgers, which creates legal uncertainty as to when or whether final settlement has occurred.[212] In this regard, as noted above, while the BOE noted the benefits of public permissionless blockchains, it considered that its decentralised operation and absence of a 'central entity' responsible for the governance of the blockchain create potential settlement risks.[213]

As a regulatory objective, the uncertainty of operational finality should be mitigated by extending the existing legal frameworks that govern settlement finality in payment systems to provide for legal finality in blockchain transactions.[214] The time at which the transfer of the SCS on the blockchain is deemed to be irrevocable and unconditional should be clarified in the legal framework.[215] In principle, however, the possibility of settlement risk in itself should not be an impediment to the characterisation of SCS as money under the common law, which is instead premised on the parties' agreement of the digital currency to be used for the performance of the monetary obligation.[216] As stated in *Libyan Arab Foreign Bank v Bankers Trust Co*: 'in my view every obligation in monetary terms is to be fulfilled, either by the delivery of cash, or by some other operation which the creditor demands and which the debtor is either obliged to, or is content to, perform.'[217] It should, therefore, be open to the payer and payee to agree to the use of SCS to fulfil a monetary obligation,

[207] See generally Phoebus L Athanassiou, 'Use of distributed ledger technologies in securities and payment transactions: potential benefits and legal challenges' (2025) 40 Journal of International Banking Law and Regulation 119.

[208] Bank for International Settlements and International Organization of Securities Commissions, 'Application of the Principles for Financial Market Infrastructures to Stablecoin Arrangements' (Jul 2022) (CPMI / IOSCO Report).

[209] Coste and Pantelopoulos (n 179) 14; BOE Discussion Paper 2024 (n 18) 23.

[210] Coste and Pantelopoulos (n 179) 19.

[211] BOE Discussion Paper 2023 (n 20) 30, 49-51; Kerrigan (n 32) para 1-006.

[212] CPMI / IOSCO Report (n 208) paras 3.43-3.45; Coste and Pantelopoulos (n 179) 20-21.

[213] BOE Consultation Paper (n 93) 45-47. cf *Tulip Trading* (n 180) [86].

[214] Payment and Settlement Systems (Finality and Netting) Act 2002 (Singapore); Financial Markets and Insolvency (Settlement Finality) Regulations 1999 (UK). See Louise Gullifer and Richard Hay, 'How final is final? Settlement finality, blockchains and DLT' (2020) 1 Journal of International Banking & Financial Law 8.

[215] Hossein Nabilou, 'Settlement Finality and Legal Certainty in Proof-of-Work Blockchains' in Christian Koller and Matthias Lehmann eds, *Digital Assets in Enforcement and Insolvency* (Hart 2025) 247, 261; CPMI / IOSCO Report (n 208) para 3.4.6.

[216] McKendrick (n 37) para 18.03.

[217] [1989] QB 728, 764.

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and the point in time at which the transfer of the SCS on the blockchain is to be irrevocable and unconditional.[218]

Singleness. A further issue arising from the disintermediated nature of SCS is that it potentially undermines the 'singleness of money'. This refers to the key tenet of the monetary system in which money issued by different entities is accepted with 'no questions asked'.[219] This 'information-insensitivity' of money is premised on the basis that all forms of money hold the same underlying monetary value because they are ultimately settled at par in central bank money.[220] If SCS payment transactions are not ultimately settled in central bank money, the value of different SCS may depend on the creditworthiness of one issuer relative to another.[221] As some have argued, this risks different SCS trading at different exchange rates, resembling private banknotes during the 19th century Free Banking era in the US.[222]

Singleness also requires the SCS to hold its peg and not trade at a different exchange rate in the secondary market.[223] The stability of the peg is contingent on the risk profile of the issuer's reserve assets and the market's belief that the issuer can redeem them at par value as promised.[224] In March 2023, for example, USDC lost its peg to the US Dollar by up to 13% after its issuer had announced that its reserve assets were held at Silicon Valley Bank, which was insolvent following a bank run.[225] While the stringent safeguarding requirements under the proposed frameworks go some way towards mitigating this risk, SCS may still be vulnerable to de-pegging due to other risk factors, including market stress, changes in demand and supply, and regulatory uncertainty.[226]

Arguably, the 'singleness of money' relates to the broader regulatory objective of maintaining monetary stability rather than the characterisation of SCS as money under the common law. The 'singleness of money' may be supported, in part, by facilitating interoperability between existing payments infrastructure and SCS arrangements, and ensuring convertibility between SCS and bank money between the holder's digital wallet and bank account, and ultimately into central bank money.[227] Where the characterisation of SCS as money under the common law is concerned, however, under the substance over form approach, the touchstone of 'money-ness' is whether such instruments are capable of facilitating the transfer of monetary value without reference to the creditworthiness of the payer for the discharge of debts.[228]

Protections. Payments using SCS also carry some amount of risk due to the absence of protections for holders. According to HM Treasury, SCS would remain 'unregulated for payments' pending further adoption by the public of SCS over time, even though they may still be used for payments.[229] Therefore, payments using SCS would not constitute 'payment transactions' for the purpose of the protections under the UK Payment Services Regulations 2017.[230] Likewise,

[218] See Nabilou (n 215) 249; Monetary Authority of Singapore, 'Operationalising Tokenised Funds' (November 2025) 14.

[219] BIS Annual Economic Report (n 25) 78.

[220] ibid; Gary B Gorton and Jeffery Y Zhang, 'Taming Wildcat Stablecoins' (2023) 90 University of Chicago Law Review 909, 912, 918.

[221] BIS Annual Economic Report (n 25) 85.

[222] Gorton and Zhang (n 220) 940-945; Dan Awrey, 'Bad Money' (2020) 106 Cornell Law Review 1, 12-16.

[223] BIS Annual Economic Report (n 25) 85.

[224] BIS Annual Economic Report (n 25) 90; IMF Departmental Paper (n 51) 23. See also Cho-Hoi Hui, Andrew Wong, and Chi-Fai Lo, 'Stablecoin price dynamics under a peg-stabilising mechanism' (2025) 152 Journal of International Money and Finance 103280.

[225] Watsky et al (n 117).

[226] Cristina Polizu, Anoop Garg, and Miguel de la Mata, 'Stablecoins: A Deep Dive into Valuation and Depegging' (S&P Global, Sep 2023) 6.

[227] Coste and Pantelopoulos (n 179) 21-28; BOE Discussion Paper 2024 (n 18) 9, 32.

[228] *Miller* (n 166); *Moss* (n 12); Bindseil, Coste, and Pantelopoulos (n 171).

[229] HM Treasury Policy Note (n 131).

[230] Payment Services Regulations 2017 (UK), reg 2.

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payments using digital currencies do not fall under the MAS E-Payments User Protection Guidelines.[231] This potentially undermines the use of SCS as a means of payment in the absence of safeguards against incorrect or fraudulent transfers of SCS stored in wallets held with intermediaries. Under the UK Payment Services Regulations 2017, for example, the payment service provider is required to reimburse the payer the amount of the unauthorised transaction, subject to the relevant requirements.[232] However, under the proposed UK framework for cryptoassets, liability for the loss of digital assets held by the authorised custodian would be determined by the relevant contractual terms.[233]

At the same time, the payments regulatory frameworks currently in force are premised on the responsibility of payment intermediaries to safeguard users against unauthorised payments, and are not readily applicable to payments using distributed ledger technology on a decentralised and disintermediated basis.[234] The immutability of the blockchain, for example, would make it impossible to reverse unauthorised transactions under the UK Payment Services Regulations 2017.[235] The gap in the governance of SCS payment chains may undermine public confidence in SCS as a means of payment. Nevertheless, as argued above, to the extent that there is broad acceptance amongst the public for the use of SCS as a means of payment as a consequence of the proposed regulatory frameworks above, this should not militate against the characterisation of SCS as money under the common law in accordance with the substance over form approach.

Conclusion

As digital currencies enter mainstream finance as a result of the significant technological, commercial, and regulatory changes that have occurred in recent years, the common law should adapt to the increasing use of tokenised money, particularly SCS, as a means of payment. In this respect, a substance over form approach to the characterisation of money is preferable to the state-centric legal conception of money that still prevails. Under a substance over form approach, the touchstone of the monetary status of an instrument is whether the instrument may be considered to be the physical or digital representation of value that serves as a means of payment on the basis of its nominal value. This would depend on whether it enables monetary value to be transferred between parties without reference to the creditworthiness of the transferor.

In this regard, the proposed regulatory frameworks in Singapore and the UK, subject to their finalisation and implementation, provide the basis for SCS to constitute a transferable claim of the underlying monetary value of the pegged fiat currency that is enforceable by law. Under the proposed frameworks, SCS are, for all intents and purposes, the functional equivalent of the pegged currency. As a corollary to this substance over form approach, a legal distinction should be made between payment-like digital currencies (such as SCS), and investment-like digital currencies (such as other forms of asset-linked stablecoins) that function primarily as a means of investment and which should not be considered as money by any reasonable measure.

Nevertheless, there remain risks in the adoption of SCS. Such risks – which include uncertainty around settlement, de-pegging, and lack of protections for users – are attributed largely to the disintermediated nature of SCS and remain subject to further discussion. Given the potential

[231] Monetary Authority of Singapore, 'E-Payments User Protection Guidelines' (MAS, 8 September 2018).

[232] Payment Services Regulations 2017 (UK), reg 76(1).

[233] FCA Consultation Paper (n 83) para 4.58.

[234] See European Banking Authority, 'Opinion on the interplay between PSD2 and MiCA in relation to crypto-asset service providers that transact electronic money tokens' (EBA/Op/2025/08, 10 Jun 2025) para 42.

[235] Dixon (n 11) para 5-75. See also Louise Damkjær Christensen, 'Preventing fraud in crypto payments' (2025) 7 Journal of Economic Criminology 100124.

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trade-offs between the centralisation and decentralisation of payments, and between intermediated and disintermediated money, a role may perhaps be conceived for SCS that is, at best, complementary to, rather than a substitute for, bank money within a 'multi-money' payments ecosystem.[236] These challenges aside, it is hoped that this article has contributed to the ongoing debates surrounding the treatment of digital currencies as money.

[236] BOE Consultation Paper (n 93) 58.

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